
Course 30427

Income taxes

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Summary

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- Introduction
- Down payments, tax liability, and outstanding balance due
- “Taxable income” and “income tax expense”
- Permanent or temporary differences

Introduction

Introduction

"Income taxes" are a sub-category of taxes, which are of many different kinds (income tax, VAT, sales tax, registry tax, stamps...).

The procedure to compute corporate income taxes, which is set according to procedures common to all countries in the world, is the object of study in the course 30427.

Income taxes are a cost to companies. The cost is debited, and a liability to the tax authority is credited.

The cost and the debt arise due to the simple generation of a positive income. In other words, as the company has been able to earn money, it can contribute to public expenses by paying taxes.

In Italy, the highest-ranking law governing taxes is Article 53 of the Constitution.



**Down payments, tax
liability, and outstanding
balance due**

During the fiscal year: down payments

To simplify, we will assume when dealing with taxes that the accounting period coincides with the calendar year.

During the year, **advanced down payments for taxes are required by law**. The size of down payments and payment dates vary from country to country.

In Italy, broadly (*i.e. with many possible exceptions*), these advance payments are due in two installments:

- June 30: 40% of the gross tax liability of the preceding fiscal year
- November 30: 60% of gross tax liability of the preceding fiscal year.

At the date of each down payment, the journal entry is (*example: 30 June 2018*):

Advance Tax Payment (or Prepaid Taxes) (+A)	€XX
Cash (-A)	€XX

The «advance tax payment» is a current asset and, if no income tax payables are due at the end of the year, it may be either carried forward, or claimed back for a refund, or used to offset other tax payables (ex. VAT).

An «advance payment» is a sort of «prepaid expense», the difference is that the «advance payment» can be claimed back if the conditions for which it was paid are not met (in the case of taxes, if no tax payments are due: see next slides)

End of fiscal year: tax liability

At year end, after the adjusting entries are made (page 180 Libby), it is possible to compute income tax expense (*according to the methods set out in the following slides*); then, the "tax liability" and the "tax receivable for down payments made" are offset.

This journal entry is the last one before closing the books and preparing the financial statements. The reason is simple. These are "income taxes", hence before calculating them you need to compute all the other positive and negative income statement items (*revenues/expenses*); otherwise, the "income before taxes" would be inaccurate and so would be the "income taxes"!

End of fiscal year: tax liability

Once income taxes are computed, the journal entries to record the accrual of income taxes and the offset are as follows (*example: 31 December 2018*):

Income Tax Expense (+E)	€XX	
Income Tax Payable (+L)		€XX
Income Tax Payable (-L)	€XX	
Advance Tax Payments (-A)		€XX

Subsequent year: offsetting the outstanding balance

As mentioned before, the "tax liability" and the "tax receivable for down payments made" are offset on December 31 every year, in a way that only the net receivable/payable is included in the balance sheet.

What happens in the next year?

If the "tax receivable" exceeds the liability, then the tax asset will be carried forward and used in the future (*or asked for reimbursement, or used to offset other taxes owed to any Governmental agency*).

If instead, the liability exceeds the down payment, then the outstanding balance due is paid on June 30th of the year (*example: 2019*), together with the first instalment of the down payment due for the year (*example: 2019*).

Income Tax Payable (-L)

€XX

Cash (-A)

€XX

30 June 2019 - Journal entry to pay the outstanding balance due for 2018. After the payment of the balance for 2018, the first instalment for 2019 is paid – see slide 7

Example 1

Lamar Company begins operations on 1 September 2022. On 30 November, Lamar estimates that they will owe taxes of € 50.000, so they pay that as a down payment to the tax authority. On 31 December, Lamar's fiscal year ends, and they calculate that good December sales will result in them actually owing € 65.000 to the tax authority. On 30 June 2023, they pay their outstanding balance for 2022 and make their first tax down payment for 2023 using the assumption that 2023's income will be the same as 2022's. What journal entries does Lamar need to make on these dates?

30 November 2022

Advance Tax Payments (+A)	€ 50.000
Cash (-A)	€ 50.000

31 December 2022

Income Tax Expense (+E)	€ 65.000
Income Tax Payable (+L)	€ 65.000
Income Tax Payable (-L)	€ 50.000
Advance Tax Payments (-A)	€ 50.000

Example 1

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30 June 2023

Income Tax Payable (-L)	€ 15.000	
Cash (-A)		€ 15.000
Advance Tax Payments (+A)	€ 26.000	
Cash (-A)		€ 26.000



€ 65.000 * 40%

“Taxable income” and “income tax expense”

The computation of taxable income

In the preceding section, we explained the chronological sequence and the journal entries concerning the payment of taxes. In this section, we explain how income taxes are computed.

In every country around the world (*except tax havens where taxes are zero*), the method to compute income taxes is approximately the same, and it is not “intuitive” for the following reason.

The Accounting System, which calculates revenues and expenses, **is based** – as you all know – on a number of concepts (*see Libby, page 45*), Accounting Standards (*US GAAP, IFRS, or local GAAP...*) and, most of all, **on many estimates and conjectures** (mainly for the adjusting entries), which give rise to **revenues and expenses that are uncertain and the result of subjective opinion**.

For example: the computation of a “depreciation expense” is the outcome of an evaluation process; bad debt expense require estimates; a contingent liability is “probable” or “possible” based on subjective opinions; and so on.

The computation of taxable income

As a consequence, **Profit Before Taxes**, that is the difference between **revenues and expenses** (*before taxes*) in the **Income Statement**, is the result of **assumptions**, subjective **hypothesis** and **assessments** that could be **manipulated**, with the goal of decreasing “income before tax” and paying then less taxes. Moreover, some **expenses may not pertain to the business** but may be borne for private interest using the company’s money.

Thus, **to avoid manipulation, Income Tax Laws exist and are enforced**. In Italy, the main Income Tax Law is the Presidential Decree n° 917 of 1986.

Income Tax Law (*no matter the Country as this is a worldwide principle*) **states provisions** aimed at **excluding some revenues and expenses from the computation of income taxes**; for Income Tax Law purposes, **some revenues shall not be taxed** (non-taxable revenues, or revenues exempt from taxes), and **some expenses are not recognized** (non-deductible expenses).

The computation of taxable income

Hence,

TAXABLE INCOME

(that is: revenues minus expenses **recognized by Tax Law**)

USUALLY DOES NOT COINCIDE WITH THE

INCOME BEFORE TAXES

(that is: revenues minus expenses included in the Income Statement according to the applicable GAAP).

Taxable Income is the amount to which the tax rate is applied to compute the income tax expense (and income tax payable) to be recorded in the financial statements.

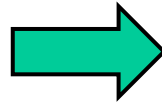
Therefore when calculating income taxes, **one must first "calculate taxable income", according to the rules established by the tax authority.**

The computation of taxable income

Stated the above, now it's time for the following question.

If Income Before Taxes is computed according to GAAP, using assumptions and hypothesis; and Taxable Income is computed according to Income Tax Laws,

Do we have to use two different Accounting Systems, one for GAAP purposes and one for tax purposes?



NO

There is ONLY ONE Accounting System. The Accounting System is NOT influenced by Income Tax Law effects.

To compute Taxable Income it is necessary, OUTSIDE AND SEPARATELY from the accounting system (i.e., not using the double-entry bookkeeping method), **to «exclude» non-taxable revenues and non-deductible expenses**, according to the method presented in the following slides, using an example.

The computation of taxable income

Example.

The Mosquito Ltd company sells water bottles.

Its two directors, Mark and Carla, buy (for their own personal use) a gold watch and a diamond ring using the company's credit card.

First question:

Q: Is it correct that this cost is recorded in the general journal of the company (and so, in the financial statements)?

*A: **Yes, of course.** If these items were paid with the credit card assigned to the Company, no doubt the change in cash must be credited at the date of payment, and consequently no doubt an expense shall be debited.*

The computation of taxable income

Second Question:

Q: What are the revenues and expenses included in the income statement at the end of the year?

A: The revenues and expenses accounted for during the year according to local GAAP are the following:

INCOME STATEMENT	
Cost of goods sold.....84.000	Sales revenues.....100.000
Watch & ring.....9.000	

Income Statement Mosquito LTD – Profit before tax € 7.000

The computation of taxable income

Third Question:

Q: According to the Tax Laws in force, are all the revenues and expenses recognized for tax purposes?

A: NO, not all revenues and expenses are recognized for tax purposes.

- Revenues are recognized (taxable revenue)
- Cost of goods sold is recognized (deductible expense)
- Watch and ring are not needed to generate revenues of the company, therefore are «not pertinent» to the business activity and are NOT deductible.

A general principle of the Tax Law of each Country is that a cost that is not inherent to the business activity "does not exist" for tax purposes and therefore shall be discarded when computing Taxable Income.

The computation of taxable income

Fourth Question:

Q: As discussed, how is taxable income calculated?

A: As we said before, there is only one Accounting System. There is not a different «Accounting System for tax purposes», where the «watch and ring» are not recorded.

Taxable income is computed as follows:

- **First, you start from the Profit Before Taxes;**
 - **Then,**
 - ✓ **You ADD BACK all non-deductible expenses and**
 - ✓ **You SUBTRACT OUT all non-taxable revenues,**
- to achieve the same result that would have occurred if we had "canceled" all the costs and revenues not recognized by tax law from the income statement.**

The computation of taxable income

Taxable income Mosquito Ltd

Profit before tax	7.000
+ NON DEDUCTIBLE COST	+ 9.000
= Taxable income	= 16.000

Once the taxable income is calculated, the tax rate is applied (for example: 30%) to calculate the **Income Tax Expense** and the **Tax liability**.

... it is as if we made a «tax income statement» and had "canceled" the non-deductible costs!



INCOME STATEMENT...for tax purposes	
Cost of goods sold.....84.000	Sales revenues.....100.000
Watch & ring.....9.000	
Profit for tax purposes $100.000 - 84.000 = 16.000$	

Taxable Income and Income Tax Expense

Taxable income = € 16.000

Income Tax Rate = 30%

→ Income Tax Expense = $16.000 \times 30\% = € 4.800$

Journal Entry for Accounting Purposes

Income Tax Expense (+E)	€ 4.800	
Income Tax Payable (+L)		€ 4.800

INCOME STATEMENT	
Cost of goods sold.....84.000	Sales revenues.....100.000
Watch & ring.....9.000	
Income tax expense.....4.800	

Net profit Mosquito Ltd = € 2.200

Recap

In summary:

- 1. During the year down payments are made and recorded in the JE*
- 2. At the end of the year, the Taxable Income is calculated OUTSIDE the Accounting System, starting from Profit Before Tax and:*
 - Adding back the non-deductible costs*
 - Subtracting out the non-taxable revenues**based on the tax legislation in a given country, that provides which costs and revenues are recognized for tax purposes.*
- 3. Once the Taxable Income is computed, it is multiplied by the tax rate of the country to obtain the Income Tax Expense.*
- 4. Then we return to the general journal, and account for the income tax expense and the tax liability*
- 5. The credit for down payments and the tax debt are offset and, if there is a residual debt, the outstanding balance due is paid.*

Why does taxable income differ from GAAP?

As you have learned, the goal of financial accounting is to provide information to company stakeholders so they can make good decisions about the company.

Income taxes are different. Tax authorities do not care about how useful taxable income is. Instead, there are two goals in calculating taxable income: (1) raising revenue for the government and (2) providing incentives for socially beneficial behaviors and disincentives for socially detrimental behaviors.

As previously discussed, one primary reason why taxable income differs from GAAP income is that tax authorities need to limit manipulation that would affect the stability of governmental revenues. Many expenses we have covered require subjective estimates that, if used in calculating taxable income, would encourage managers to inflate their expenses so they pay less income taxes.

For this reason, taxable income calculations often disallow or limit expenses that require subjective judgments, like bad debt expense and goodwill impairments, and other times will require that an expense be completely recomputed based on strict formulas, as is common with depreciation expense.

Why does taxable income differ from GAAP?

However, a key role of taxes, including income taxes, is to affect behavioral changes for societal wellbeing.

To encourage a particular behavior, tax authorities can:

1. Allow some revenues to be untaxed by excluding them from taxable income.
2. Allow extra expenses to be subtracted from taxable income (i.e. some expenses are doubled, for example). Alternately, sometimes authorities allow expenses to be subtracted directly from the income tax payable...this is called a Tax Credit.
3. Allow expenses to be subtracted from taxable income before they are expensed by GAAP. Many countries allow companies to use, for long-lived assets, much shorter lives for tax purposes than GAAP would allow, so that companies get tax savings from depreciation faster. This is done to encourage local investment.

To discourage socially harmful behaviors, tax authorities typically disallow related expenses, such as disallowing expenses for high-pollution activities. However, they may also add additional taxes (called “surtaxes”) on revenues.

Permanent and temporary differences

Permanent or temporary differences

In the previous chapter we referred to the "variations" to be made to the Profit Before Taxes to calculate Taxable Income.

There are two types of "variations".

Permanent differences: when a cost or revenue is recorded in the general journal but the tax law does not recognize it in the financial year in which it is recorded or in any future year. In other words, for the tax authorities these kind of revenues or costs "do not ever exist".

Temporary differences: when a cost or revenue is recorded in the general journal but the tax law does not recognize it in the same financial year in which it is recorded. Rather, tax law will recognize it in the future. These misalignments between the accrual period for accounting purposes and the accrual period for tax purposes generate:

- **Deferred tax assets, and**
- **Deferred tax liabilities**

Permanent or temporary differences

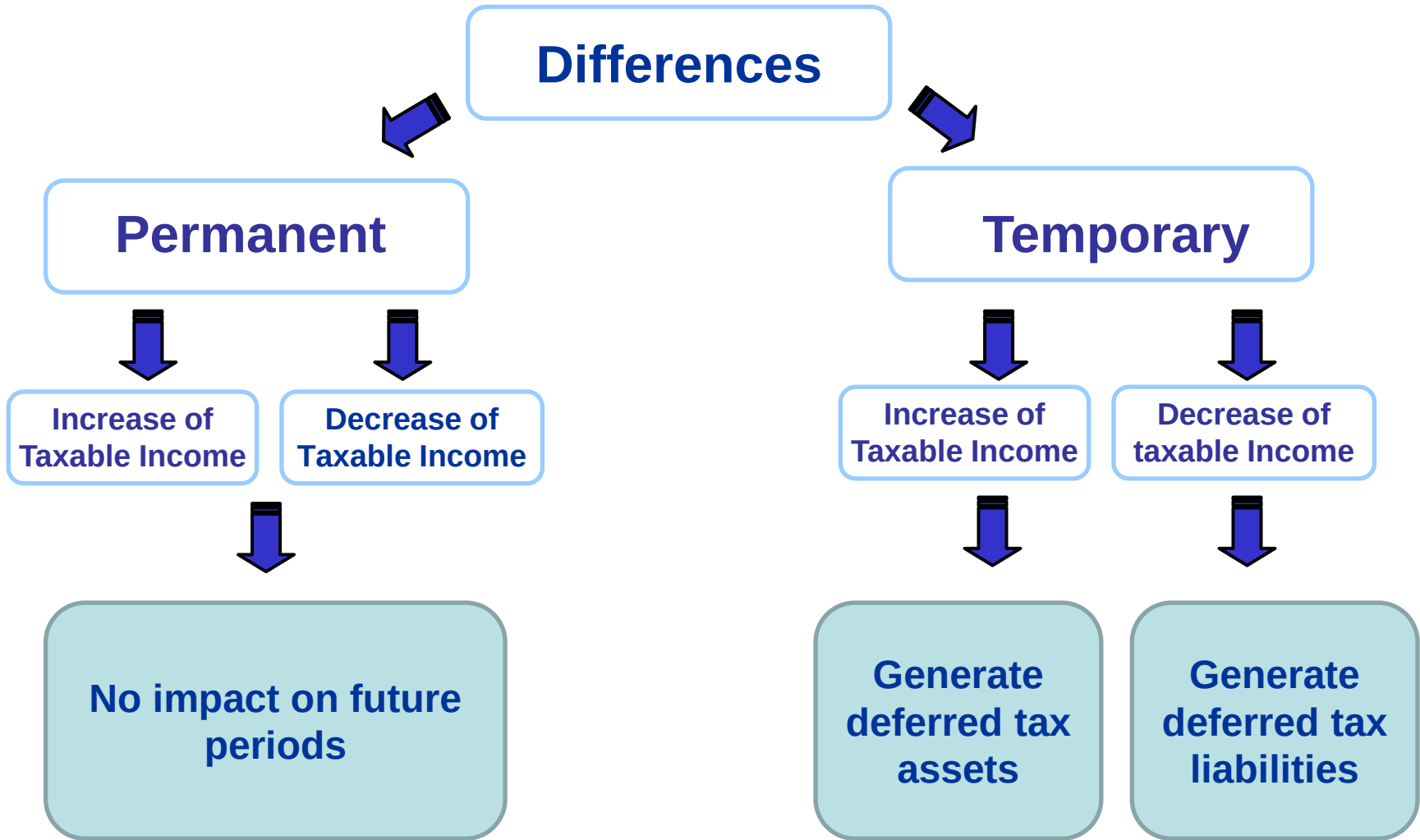
In our course these concepts are not studied in depth. However, consider the following:

- When there is a temporary increase (taxable income > GAAP income), a "deferred tax asset" is generated, not to be confused with an "advance tax payment". The "deferred tax asset" is recorded as an asset on the balance sheet.
- When there is a temporary decrease (GAAP income > taxable income), a "deferred tax liability" is generated, not to be confused with a "tax payable". The "deferred tax liability" is recorded as a liability on the balance sheet.

When a balance sheet is analyzed and deferred tax assets and liabilities are identified, they are generated by the misalignment between accounting standards and tax legislation.

We will find these items again when we address the consolidated financial statements.

Fiscal differences



Permanent or temporary differences

Example (deferred tax liability):

Bronco Ltd purchases a machine for medical research with an estimated useful life of 10 years. However, to encourage medical research, the tax law allows medical machinery to be immediately subtracted at full cost from taxable income.

In the year of purchase, Bronco's Taxable Income will be *smaller* than Profit before Tax. However, in future years, Bronco will have depreciation expense that reduces Profit before Tax but no depreciation when calculating Taxable Income (because they already fully expensed the machinery for tax purposes).

Thus, we need to let stakeholders know that

- the lower Taxable Income, in the year of purchase, will result in
- Taxable Income being higher than Profit before Tax in future years, meaning we will pay more in income taxes than would be expected in simply looking at Profit before Tax.

We do this by recording a deferred tax liability that shows that this year's tax savings will result in higher future tax payments.

Permanent or temporary differences

Example (deferred tax asset):

Bronco Ltd purchases a private jet for the CEO with an estimated useful life of 10 years. However, to discourage private jet use, the tax law requires private jets to be depreciated over 25 years.

In the year of purchase, Bronco's Taxable Income will be *larger* than Profit before Tax because part of the GAAP depreciation expense is excluded from the taxable income calculation. However, in future years, Bronco will stop having depreciation expense that reduces Profit before Tax but will continue to have depreciation when calculating Taxable Income.

Thus, we need to let stakeholders know that

- the higher Taxable Income, in the year of purchase, will result in
- Taxable Income being lower than Profit before Tax in future years, meaning we will pay less in income taxes than would be expected in simply looking at Profit before Tax.

We do this by recording a deferred tax asset that shows that this year's tax costs will result in future tax savings.